Distributor Agreement

Between Ashland Climate and Hartwell Supply Co., entered into on 9 December 2021.

Article 1 - Appointment

Ashland Climate (the Supplier) appoints Hartwell Supply Co. (the Distributor) as one of its non-exclusive authorized distributors of the Products throughout Ohio, Indiana, Kentucky, Michigan and western Pennsylvania.

Article 2 - Duration

This Agreement takes effect on 1 January 2022 and runs through 31 December 2022, and thereafter renews of itself for further terms of one year each unless either party gives the other written notice no fewer than 90 days before a term would end.

Article 3 - Product warranties

The Products carry the Supplier's published limited warranty for the periods stated in it, against defects in material and workmanship. The Distributor shall neither give nor enlarge any warranty for the Supplier's account.

Article 4 - Insurance

For the whole of the term each party shall keep commercial general liability cover of not less than $2,000,000 for any one occurrence, and shall hand over certificates of that insurance whenever the other party asks.

Article 5 - Confidentiality

What this Agreement contains - pricing and program terms above all - is confidential, and neither party will pass it to anyone but its own professional advisers.

Article 6 - Governing law

The law of the State of Ohio governs this Agreement, its conflict-of-laws principles excluded.

Schedule A - 2022 Distributor Incentive Program

(a) **Eligible Purchases** are the net amount invoiced for Equipment - condensers, furnaces, air handlers, heat pumps and packaged units - after deducting returns and credits and leaving out freight, tax and parts.

(b) **Volume rebate.** Where a Distributor reaches a tier, the rate for that, its highest tier, is paid on the whole of the Program Year's Eligible Purchases, counting from the first dollar.

Eligible Purchases in the Program Year	Rebate %
$24,000,000 and above	1.00%
$34,000,000 and above	1.75%
$49,000,000 and above	2.25%

(c) **Settlement.** Rebates are issued by credit memo within 75 days after the Program Year closes.

(d) **Cooperative advertising.** The Distributor accrues co-op at 1.0% of Eligible Purchases. The Supplier covers one half (50%) of the cost of approved activities - dealer training, trade shows, co-branded advertising and displays. A claim, with proof of performance, must reach the Supplier by 30 April after the Program Year; funds left unclaimed lapse.

(e) **Freight.** An order of $5,000 or more ships freight prepaid to any Distributor location; a smaller order ships freight collect.

(f) **Earlier programs.** The 2020 Heat Pump Accelerator (Schedule C to the 2020 agreement) came to an end on 31 December 2020 and has no application here.